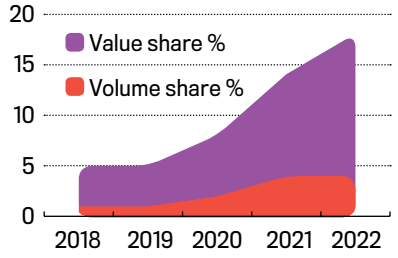
APPLE NEEDS INDIA

The country has over 1.2 billion mobile users, of whom more than 600 million use smartphones. With millions expected to migrate to smartphones over the next few years, prospects are bright for handset makers

Charts source: Counterpoint

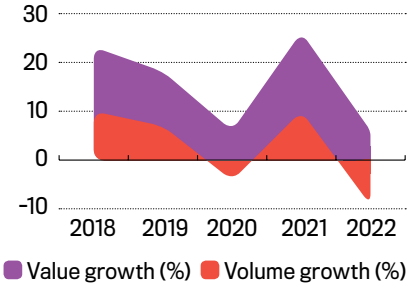
Expanding Pie

Apple has been steadily growing its market share in India, in recent years



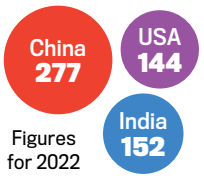
Ups and Downs

The second half of 2022 saw a dip in overall smartphone sales in India, but the premium segment grew



Closing In

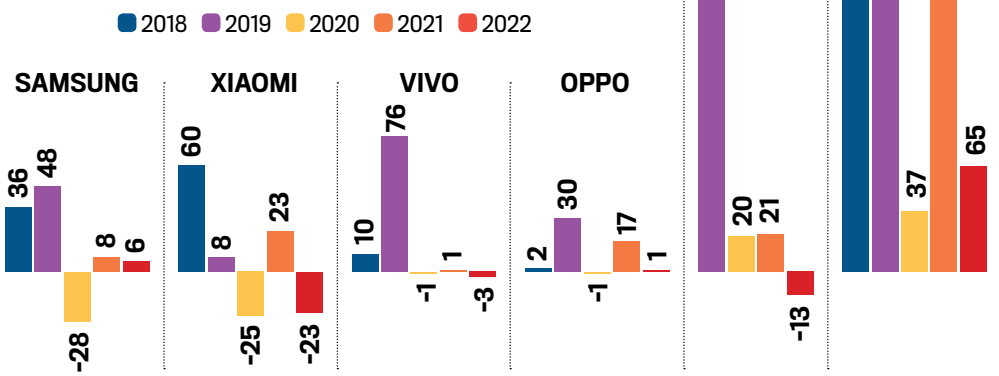
SMARTPHONE SHIPMENTS BY TOP COUNTRIES
(Million units)



Figures for 2022

Going Local

Both 2019 and 2021 saw robust growth for most smartphone players, but most firms faced headwinds in 2022



Graphic by TANMOY CHAKRABORTY

In 2022, Xiaomi was the leader in smartphones with 20 per cent market share with Apple having just 4 per cent share. However, when it comes to the premium market, it is an all-Apple story. The company held a 42 per cent share of the premium market in 2022. From a consumer standpoint, the top three parameters for purchasing an iPhone are brand image, user experience and camera prowess. "With Apple, it is not just the features and specs but also its brand value or status symbol. It is a pride commodity," says Singh. The current generation iPhone 13 and iPhone 14 have increased display size from the time of the earlier models like the iPhone 6. Apple came with mini versions, but they did not click as much as the advanced and normal versions and the Pro Max versions.

MAKING IN INDIA

As of December 2022, Apple had over 180 suppliers across the world, 150 of which were in China. The company's efforts to look beyond China as a manufacturing base coincide with the efforts India had been taking to advance the capabilities of its electronics manufacturing ecosystem. In 2020, after the country was hit by Covid-19 and went through one of the toughest lockdown phases in the world, the Centre announced its 'Aatmanirbhar Bharat Abhiyan' aimed at making the country more self-reliant. As part of this, one policy that intended to strengthen indigenous manufacturing was the Production Linked Incentive (PLI) scheme, where the Centre would provide target-based incentives in 14 manufacturing sectors to boost local manufacturing. In the first round, the PLI scheme extended an incentive of 4 per cent to 6 per cent on incremental sales (over the base year 2019-20) of goods manufactured in India for five